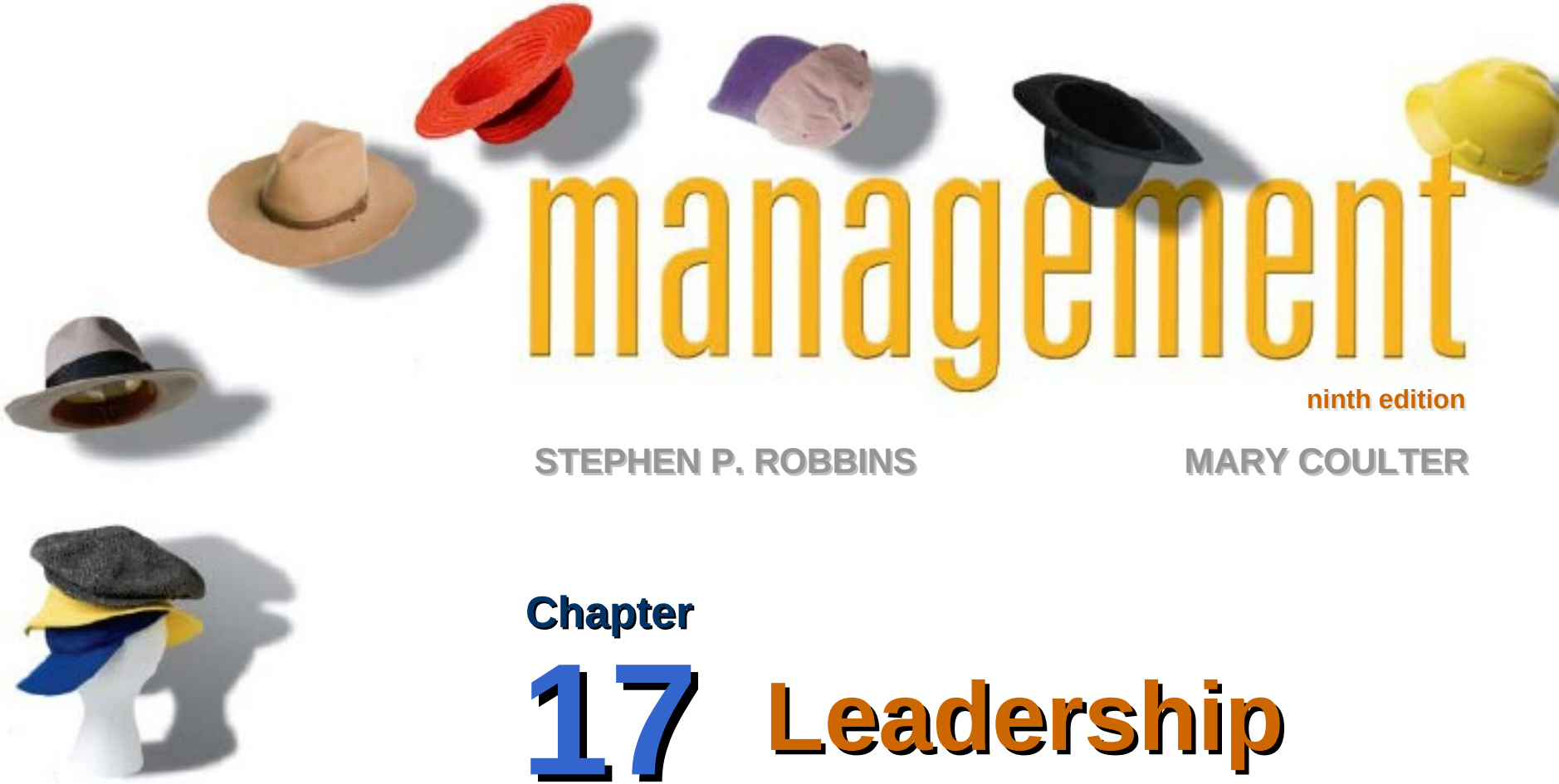

management

ninth edition

STEPHEN P. ROBBINS MARY COULTER

Chapter 17 Leadership

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LEARNING OUTLINE

Follow this Learning Outline as you read and study this chapter.

Who Are Leaders and What Is Leadership

- Define leaders and leadership.
- Explain why managers should be leaders.

Early Leadership Theories

- Discuss what research has shown about leadership traits.
- Contrast the findings of the four behavioral leadership theories.
- Explain the dual nature of a leader's behavior.

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LEARNING OUTLINE (cont'd)

Follow this Learning Outline as you read and study this chapter.

Contingency Theories of Leadership

- Explain how Fiedler's theory of leadership is a contingency model.
- Contrast situational leadership theory and the leader participation model.
- Discuss how path-goal theory explains leadership.

Contemporary Views on Leadership

- Differentiate between transactional and transformational leaders.
- Describe charismatic and visionary leadership.
- Discuss what team leadership involves.

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L E A R N I N G O U T L I N E (cont'd)

Follow this Learning Outline as you read and study this chapter.

Leadership Issues in the Twenty-First Century

- Tell the five sources of a leader's power.
- Discuss the issues today's leaders face.
- Explain why leadership is sometimes irrelevant.

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Leaders and Leadership

- Leader – Someone who can influence others and who has managerial authority
- ***Example: Sarah, a department manager at a retail store,*** *has the authority to assign tasks and make scheduling decisions. Because she communicates clearly, treats employees fairly, and consistently supports her team, the staff respects her and willingly follows her direction. Her ability to* ***influence others****—combined with her formal* ***managerial authority****—makes her a leader in the organization.*
- Leadership – What leaders do; the process of influencing a group to achieve goals
- *Example :During a major product launch,* ***the team was unsure how to prioritize tasks****. The project lead, Daniel, stepped in and clarified the goals, created a timeline, and assigned responsibilities based on each team member's strengths. He regularly checked in, offered support, and motivated the group to stay focused. Through his actions—****guiding, motivating, organizing, and influencing the team toward completing the launch on time****—Daniel demonstrated* ***leadership****.*
- Ideally, all managers *should be* leaders
- Although groups may have informal leaders who emerge, those are not the leaders we're studying
- **Informal leaders** are people who **influence others without having official or formal authority**.

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Early Leadership Theories

- Trait Theories (1920s-30s)
  - Research focused on identifying personal characteristics that differentiated leaders from nonleaders was unsuccessful.
  - Later research on the leadership process identified seven traits associated with successful leadership:
    - Drive, the desire to lead, honesty and integrity, self-confidence, intelligence, job-relevant knowledge, and extraversion.

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Exhibit 17–1 Seven Traits Associated with Leadership

1. *Drive.* Leaders exhibit a high effort level. They have a relatively high desire for achievement; they are ambitious; they have a lot of energy; they are tirelessly persistent in their activities; and they show initiative.
2. *Desire to lead.* Leaders have a strong desire to influence and lead others. They demonstrate the willingness to take responsibility.
3. *Honesty and integrity.* Leaders build trusting relationships between themselves and followers by being truthful or nondeceitful and by showing high consistency between word and deed.
4. *Self-confidence.* Followers look to leaders for an absence of self-doubt. Leaders, therefore, need to show self-confidence in order to convince followers of the rightness of their goals and decisions.
5. *Intelligence.* Leaders need to be intelligent enough to gather, synthesize, and interpret large amounts of information, and they need to be able to create visions, solve problems, and make correct decisions.
6. *Job-relevant knowledge.* Effective leaders have a high degree of knowledge about the company, industry, and technical matters. In-depth knowledge allows leaders to make well-informed decisions and to understand the implications of those decisions.
7. *Extraversion.* Leaders are energetic, lively people. They are sociable, assertive, and rarely silent or withdrawn.

Source: S. A. Kirkpatrick and E. A. Locke, "Leadership: Do Traits Really Matter?" *Academy of Management Executive,* May 1991, pp. 48–60; T. A. Judge, J. E. Bono, R. llies, and M. W. Gerhardt, "Personality and Leadership: A Qualitative and Quantitative Review," *Journal of Applied Psychology,* August 2002, pp. 765–780.

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1. Drive:

Leaders with drive put in strong effort and stay motivated.
Example:
A project manager stays late to finalize a proposal, making sure the team meets the deadline. Their energy motivates others to work hard too.

2. Desire to Lead:

They genuinely *want* to guide others and take responsibility.
Example:
An employee volunteers to head a new task force and takes charge of organizing meetings, delegating tasks, and ensuring progress.

3. Honesty and Integrity:

They are truthful, consistent, and do what they say.
Example:
A supervisor admits a mistake in financial reporting rather than hiding it. Team members trust them more because they are transparent.

4. Self-Confidence:

Leaders believe in their decisions and communicate them clearly.
Example:
During a crisis, a team looks to the manager for direction. The manager confidently explains the plan, reducing employees' fear and uncertainty.

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Cont….

5. Intelligence:

They can analyze information, solve problems, and make sound decisions.
Example:
A CEO studies market data, predicts a new trend, and shifts the company strategy—leading to higher sales.

6. Job-Relevant Knowledge

They understand their industry, job, and technical matters.
Example:
An IT team leader who knows programming languages can better guide the team, review code quality, and make informed decisions on technology.

7. Extraversion

They are outgoing, sociable, and communicate easily.
Example:
A sales manager enthusiastically interacts with clients and motivates their team through open communication and positive engagement.

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Exhibit 17–2 Behavioral Theories of Leadership

	Behavioral Dimension	Conclusion
University of Iowa	*Democratic style:* involving subordinates, delegating authority, and encouraging participation *Autocratic style:* dictating work methods, centralizing decision making, and limiting participation *Laissez-faire style:* giving group freedom to make decisions and complete work	Democratic style of leadership was most effective, although later studies showed mixed results.
Ohio State	*Consideration:* being considerate of followers' ideas and feelings *Initiating structure:* structuring work and work relationships to meet job goals	High–high leader (high in consideration and high in initiating structure) achieved high subordinate performance and satisfaction, but not in all situations.

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Exhibit 17–2 (cont'd) Behavioral Theories of Leadership

	Behavioral Dimension	Conclusion
University of Michigan	*Employee-oriented:* emphasized interpersonal relationships and taking care of employees' needs *Production-oriented:* emphasized technical or task aspects of job	Employee-oriented leaders were associated with high group productivity and higher job satisfaction.
Managerial Grid	*Concern for people:* measured leader's concern for subordinates on a scale of 1 to 9 (low to high) *Concern for production:* measured leader's concern for getting job done on a scale of 1 to 9 (low to high)	Leaders performed best with a 9.9 style (high concern for production and high concern for people).

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Early Leadership Theories (cont'd)

- Behavioral Theories
  - University of Iowa Studies (Kurt Lewin)
    - Identified three leadership styles:
      - **Autocratic style:** Leader makes decisions alone, controls work methods, and gives strict instructions centralized authority, low participation
      - **Democratic style:** Leader involves employees, asks for input, shares authority. involvement, high participation, feedback
      - **Laissez faire style:** Leader gives full freedom; employees make decisions themselves hands-off management
    - Research findings: mixed results
      - No specific style was consistently better for producing better performance
      - Employees were more satisfied under a democratic leader than an autocratic leader.

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Early Leadership Theories (cont'd)

- Behavioral Theories (cont'd)
  - Ohio State Studies
    - Identified two dimensions of leader behavior
      - **Initiating structure:** the role of the leader in defining his **or her role and the roles of group members**
      - ✓ This is about task-oriented behavior. The leader clearly defines:
      - ✓ what the team needs to do
      - ✓ how to do it
      - ✓ who will do which task
      - ✓ deadlines, rules, and work processes

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Early Leadership Theories (cont'd)

- Behavioral Theories (cont'd)
  - Ohio State Studies
    - **Consideration:** the leader's mutual trust and respect for group members' ideas and feelings. Influence. This is about people-oriented behavior.
      The leader shows:
    - Trust ,respect, concern for employees' needs. Good communication,empathy.leadership effectiveness.
  - Research findings: mixed results
    - High-high leaders (A leader who combines **high initiating structure + high consideration** is usually very effective.) generally, but not always, achieved high group task performance and satisfaction
    - Evidence indicated that situational factors appeared to strongly

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Early Leadership Theories (cont'd)

- Behavioral Theories (cont'd)
  - University of Michigan Studies
    - Identified two dimensions of leader behavior
      - **Employee oriented:** emphasizing personal relationships
      - **Production oriented:** emphasizing task accomplishment
    - Research findings:
      - Leaders who are employee oriented are strongly associated with high group productivity and high job satisfaction.

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- **University of Michigan Studies — Explained**
- The University of Michigan researchers studied what makes leaders effective.
  They identified **two main leadership behaviors**:

1. Employee-Oriented Leadership

This leader focuses on **people**.

- **Characteristics:**

✓ Builds strong personal relationships
✓ Shows concern for employees' well-being
✓ Listens to employees
✓ Encourages participation
✓ Treats everyone with respect

Example:

- A team leader regularly checks on how employees are feeling, supports them when they face challenges, and encourages teamwork.
  They celebrate small achievements and make employees feel valued.
- **Result:** Employees become more motivated, loyal, and satisfied.
  This leads to higher productivity.

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2. Production-Oriented Leadership

This leader focuses on **tasks and output**.

Characteristics:

- Emphasizes deadlines and work targets
- Monitors performance closely
- Focuses on getting the job done
- Less emphasis on personal needs of employees

Example:

- A manager instructs the team to meet a strict monthly target, checks progress daily, and expects everyone to stay focused only on tasks.

Result:

Work gets completed, but employees may feel stressed or unimportant.

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The Managerial Grid

- Managerial Grid
  - Appraises leadership styles using two dimensions:
    - Concern for people
    - Concern for production
  - Places managerial styles in five categories:
    - Impoverished management
    - Task management
    - Middle-of-the-road management
    - Country club management
    - Team management

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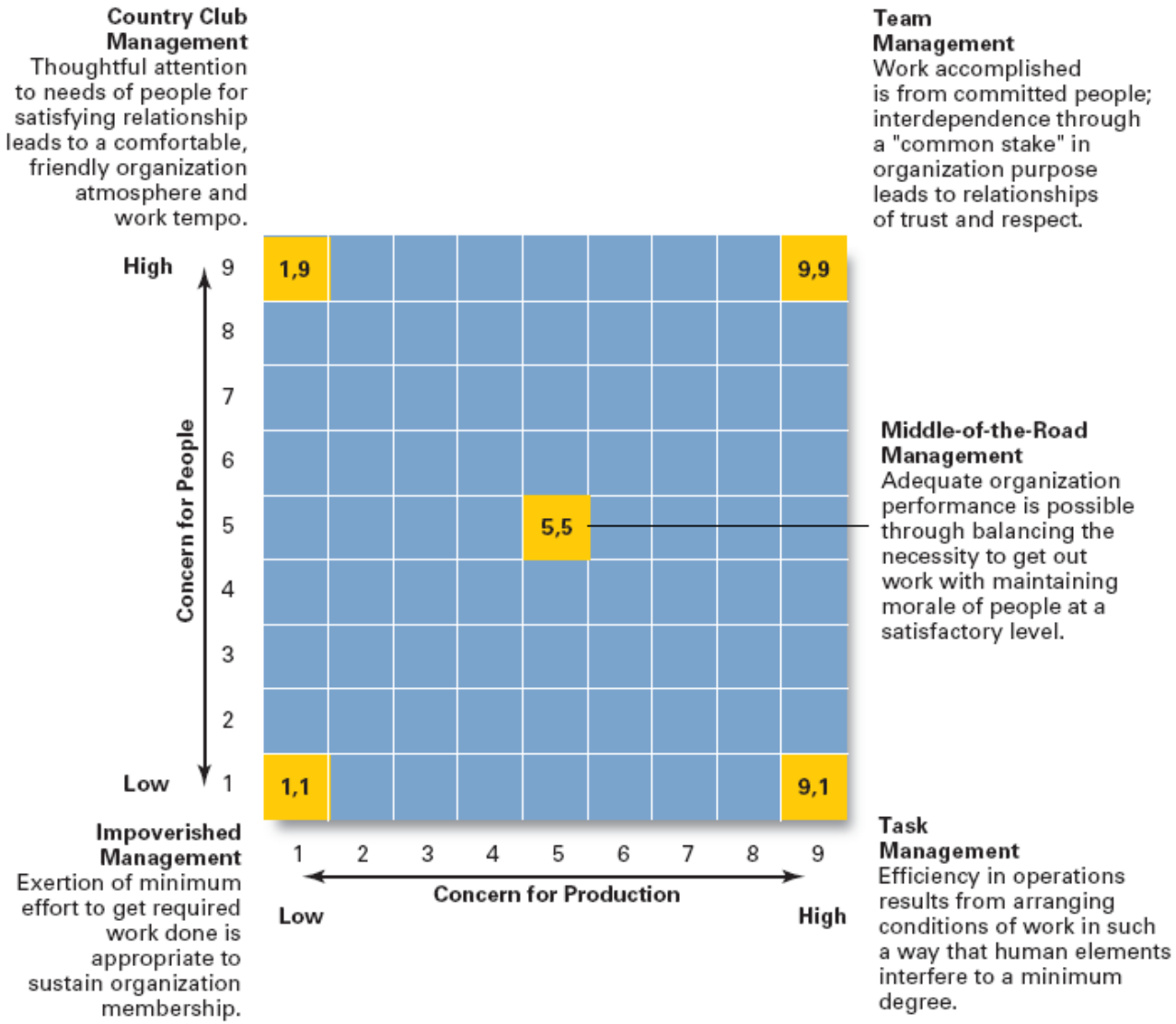
Exhibit 17–3 The Managerial Grid



Source: Reprinted by permission of *Harvard Business Review*. An exhibit from "Breakthrough in Organization Development" by Robert R. Blake, Jane S. Mouton, Louis B. Barnes, and Larry E. Greiner, November–December 1964, p. 136. Copyright © 1964 by the President and Fellows of Harvard College. All rights reserved.

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The Managerial Grid—developed by **Blake and Mouton**—shows **five major leadership styles** based on two factors:

1. Concern for People (Vertical Axis)

•How much the leader cares about employee needs, morale, and relationships.

2. Concern for Production (Horizontal Axis)

•How much the leader focuses on achieving goals, productivity, and results.

Each style is rated on a scale of **1 to 9**, where:

•**1 = Low concern**

•**9 = High concern**

The Five Leadership Styles

1️⃣ Impoverished Management (1,1)

Low concern for people + Low concern for production

•Leader does the minimum.

•No interest in motivating staff.

•Just tries to survive in the organization.

Result:

Low efficiency, low morale.

2️⃣ Country Club Management (1,9)

High concern for people + Low concern for production

•Leader focuses on creating a friendly, comfortable atmosphere.

•Avoids pressure and conflict.

•Work is pleasant but productivity is low.

Result:

Happy employees, weak performance.

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3️⃣ Task Management (9,1)

High concern for production + Low concern for people

- Very strict, controlling, and work-focused.
- Workers are treated like tools for output.
- Rules and procedures are emphasized.

Result:

High productivity but unhappy employees.

4️⃣ Middle-of-the-Road Management (5,5)

Moderate concern for people + Moderate concern for production

- Tries to balance work output and employee needs.
- Not too strict, not too friendly.
- Avoids extremes.

Result:

Average performance, no excellence.

5️⃣ Team Management (9,9)

High concern for people + High concern for production

- Best leadership style.
- Leader builds trust, respect, teamwork, and high performance.
- Employees feel motivated and involved.

Result:

Strong productivity + high employee satisfaction.

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Contingency Theories of Leadership

- The Fiedler Model (cont'd)
  - Proposes that effective group performance depends upon the proper match between the leader's style of interacting with followers and the degree to which the situation allows the leader to control and influence.
  - Assumptions:
    - A certain leadership style should be most effective in different types of situations.
    - Leaders do not readily change leadership styles.
      - Matching the leader to the situation or changing the situation to make it favorable to the leader is required.

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Contingency Theories… (cont'd)

- The Fiedler Model (cont'd)
  - Least-preferred co-worker (LPC) questionnaire
    - Determines leadership style by measuring responses to 18 pairs of contrasting adjectives.
      - High score: a relationship-oriented leadership style
      - Low score: a task-oriented leadership style
  - Situational factors in matching leader to the situation:
    - Leader-member relations
    - Task structure
    - Position power

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Fiedler’s Contingency Model

- Fiedler's model says:
- 👉 No single leadership style works best in all situations.
  👉 Leadership effectiveness depends on matching the right leader with the right situation.
- A leader’s effectiveness depends on **two things**:

1. The leader’s style

– This is seen as **fixed** (you cannot easily change your natural leadership style).

2. The favorableness of the situation

– How much control the situation gives to the leader.

- If the leader’s style fits the situation → **performance improves**.

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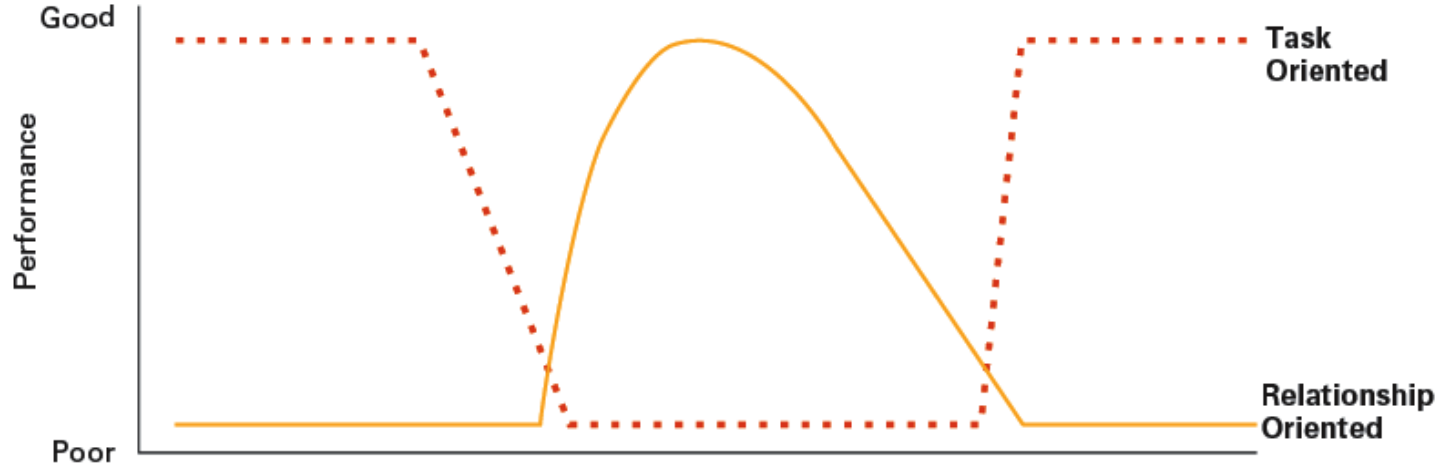
Exhibit 17–4 Findings of the Fiedler Model



Situation Favorableness:	Highly Favorable			Moderate			Highly Unfavorable	
Category	I	II	III	IV	V	VI	VII	VIII
Leader–Member Relations	Good	Good	Good	Good	Poor	Poor	Poor	Poor
Task Structure	High	High	Low	Low	High	High	Low	Low
Position Power	Strong	Weak	Strong	Weak	Strong	Weak	Strong	Weak

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Contingency Theories… (cont'd)

- Hersey and Blanchard's Situational Leadership Theory (SLT)
  - Argues that successful leadership is achieved by selecting the right leadership style which is contingent on the level of the followers' readiness.
    - **Acceptance:** leadership effectiveness depends on whether followers accept or reject a leader.
    - **Readiness:** the extent to which followers have the ability and willingness to accomplish a specific task.
  - Leaders must relinquish control over and contact with followers as they become more competent.

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- **Situational Leadership Theory** argues that **there is no single best leadership style**. Instead, **effective leaders adjust their style depending on the "readiness" of their followers**—that is, followers' ability and willingness to carry out a specific task.

1. Leadership effectiveness depends on follower acceptance

- SLT suggests that leadership only works if **followers accept or "buy into"** the leader's direction.
  A leader can adopt any style, but it won't be effective unless followers are willing to follow.
  This means leadership success is **contingent on the relationship between leader behavior and follower response.**

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2. Readiness of followers

- **Readiness** (sometimes called “maturity”) refers to **how capable and motivated followers are** to perform a particular task.
- It has two components:
- **Ability** – Do they have the skills, knowledge, and competence?
- **Willingness** – Are they confident, motivated, and committed?
- Leaders must assess where followers are on this readiness spectrum before choosing a leadership style.

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Contingency Theories… (cont'd)

- Hersey and Blanchard's Situational Leadership Theory (SLT)
  - Creates four specific leadership styles incorporating Fiedler's two leadership dimensions:
    - **Telling:** high task-low relationship leadership
    - **Selling:** high task-high relationship leadership
    - **Participating:** low task-high relationship leadership
    - **Delegating:** low task-low relationship leadership

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Hersey and Blanchard's Situational Leadership Theory (SLT)

Style	Task Behavior	Relationship Behavior	Best for Followers Who…
Telling	High	Low	Can't do the task and aren't confident or motivated
Selling	High	High	Can't do the task but are motivated and want to learn
Participating	Low	High	Can do the task but lack confidence or commitment
Delegating	Low	Low	The leader provides **minimal direction and minimal support**.

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Contingency Theories… (cont'd)

- Hersey and Blanchard's Situational Leadership Theory (SLT)
  - Posits four stages follower readiness:
    - **R1:** followers are unable and unwilling
    - **R2:** followers are unable but willing
    - **R3:** followers are able but unwilling
    - **R4:** followers are able and willing

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Contingency Theories… (cont'd)

- Leader Participation Model (Vroom and Yetton)
  - Posits that leader behavior must be adjusted to reflect the task structure—whether it is routine, nonroutine, or in between—based on a sequential set of rules (contingencies) for determining the form and amount of follower participation in decision making in a given situation.

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Routine Task Example

Situation:

In a factory, everything on the assembly line is done the same way every day. The machines also have a regular maintenance schedule. Now, it's time to update the schedule for one machine.

Why is this a routine task?

- The steps are already known
- There are clear rules
- Nothing new or uncertain is happening

What should the leader do?

The leader should **make the decision alone** (autocratic style A1).

Why make the decision alone?

Because:

- The task is simple
- The leader already knows what to do
- Asking the workers won't change anything

What is the final result?

The leader updates the maintenance schedule and then tells the team.

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Task in Between (Partly Structured)

Situation:
A manager must decide whether to introduce a new work-from-home policy. There are some guidelines, but the impact is uncertain.

Task type: Partly structured.

Leader decision:
Use a **consultative style (C2)** — ask the team as a group for input, but leader makes final decision.

Why?

- Some information is known, some is uncertain
- Employee opinions matter
- But the final responsibility stays with the leader

Outcome:
Leader gathers feedback and then decides.

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- **Nonroutine Task (Complex Problem)**
- **Situation:**
  A company must decide how to respond to a sudden drop in customer satisfaction. The cause is unclear, and many departments are involved.
- **Task type:** Nonroutine, complex, uncertain.
- **Leader decision:**
  Use a **group-based style (G2)** — leader and team discuss and make the decision together.
- **Why?**
- Leader does not have all the information
- Team members have different insights (support, product, IT, etc.)
- High commitment is needed to implement the solution
- **Outcome:**
  Everyone collaborates to diagnose the problem and agree on a solution.

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Contingency Theories… (cont'd)

- Leader Participation Model Contingencies:
  - Decision significance
  - Importance of commitment
  - Leader expertise
  - Likelihood of commitment
  - Group support
  - Group expertise
  - Team competence

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Exhibit 17–5 Leadership Styles in the Vroom Leader Participation Model

- ***Decide:*** Leader makes the decision alone and either announces or sells it to group.
- ***Consult Individually:*** Leader presents the problem to group members individually, gets their suggestions, and then makes the decision.
- ***Consult Group:*** Leader presents the problem to group members in a meeting, gets their suggestions, and then makes the decision.
- ***Facilitate:*** Leader presents the problem to the group in a meeting and, acting as facilitator, defines the problem and the boundaries within which a decision must be made.
- ***Delegate:*** Leader permits the group to make the decision within prescribed limits.

Source: Based on V. Vroom, "Leadership and the Decision-Making Process," *Organizational Dynamics*, vol. 28, no. 4 (2000), p. 84.

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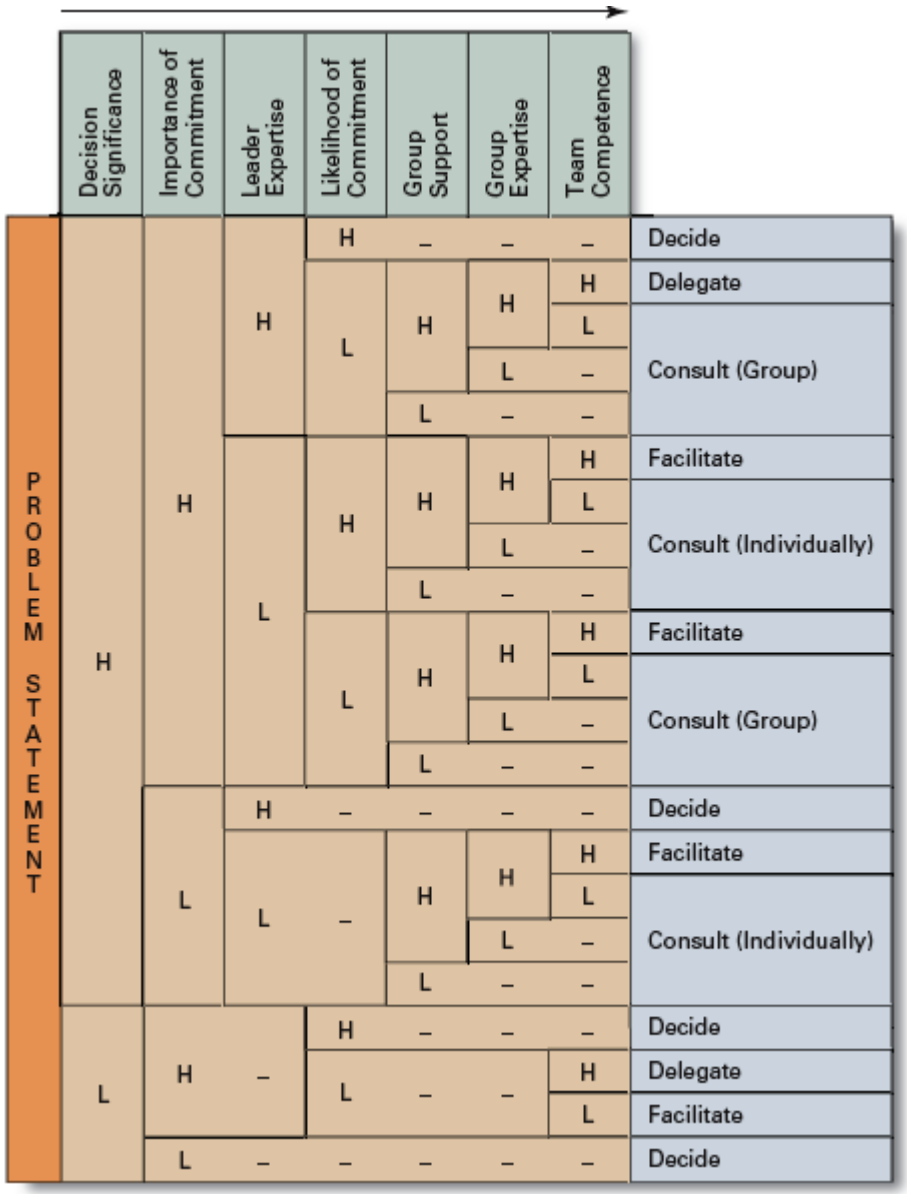
Exhibit 17–6 Time-Driven Model



Source: Adapted from V. Vroom, "Leadership and the Decision-Making Process," *Organizational Dynamics*, vol. 28, no. 4 (2000), p. 87.

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Contingency Theories… (cont'd)

- Path-Goal Model
  - States that the leader's job is to assist his or her followers in attaining their goals and to provide direction or support to ensure their goals are compatible with organizational goals.
  - The Path-Goal Leadership Model states that a leader's main role is to guide, support, and motivate followers so they can achieve their goals. The leader must also ensure that these goals are aligned with organizational objectives. Depending on the situation, the leader may change their leadership style to help employees overcome obstacles and perform effectively.
  - Leaders assume different leadership styles at different times depending on the situation:
    - Directive leader
    - Supportive leader
    - Participative leader
    - Achievement oriented leader

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Leadership Styles with Examples

1. Directive Leader

- **Explanation:**
The leader provides **clear instructions**, sets expectations, defines tasks, and tells employees exactly what needs to be done.

- **Example:**
A supervisor in a manufacturing unit gives step-by-step instructions on how to operate a new machine to ensure safety and accuracy.

2. Supportive Leader

- **Explanation:**
The leader shows concern for employees' well-being, creates a friendly environment, and provides emotional support.

- **Example:**
A team is stressed during a tight deadline. The manager encourages them, provides flexibility, and helps reduce pressure.

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3. Participative Leader

- **Explanation:**
The leader includes employees in **decision-making**, seeks their input, and values their ideas before taking action.

- **Example:**
Before launching a new service, a manager holds a meeting to gather feedback from staff and incorporates their suggestions into the final plan.

4. Achievement-Oriented Leader

- **Explanation:**
The leader sets **challenging goals**, expects high performance, and pushes employees to reach their full potential.

- **Example:**
A sales manager motivates the team by setting a high but achievable sales target and provides resources to help them exceed it.

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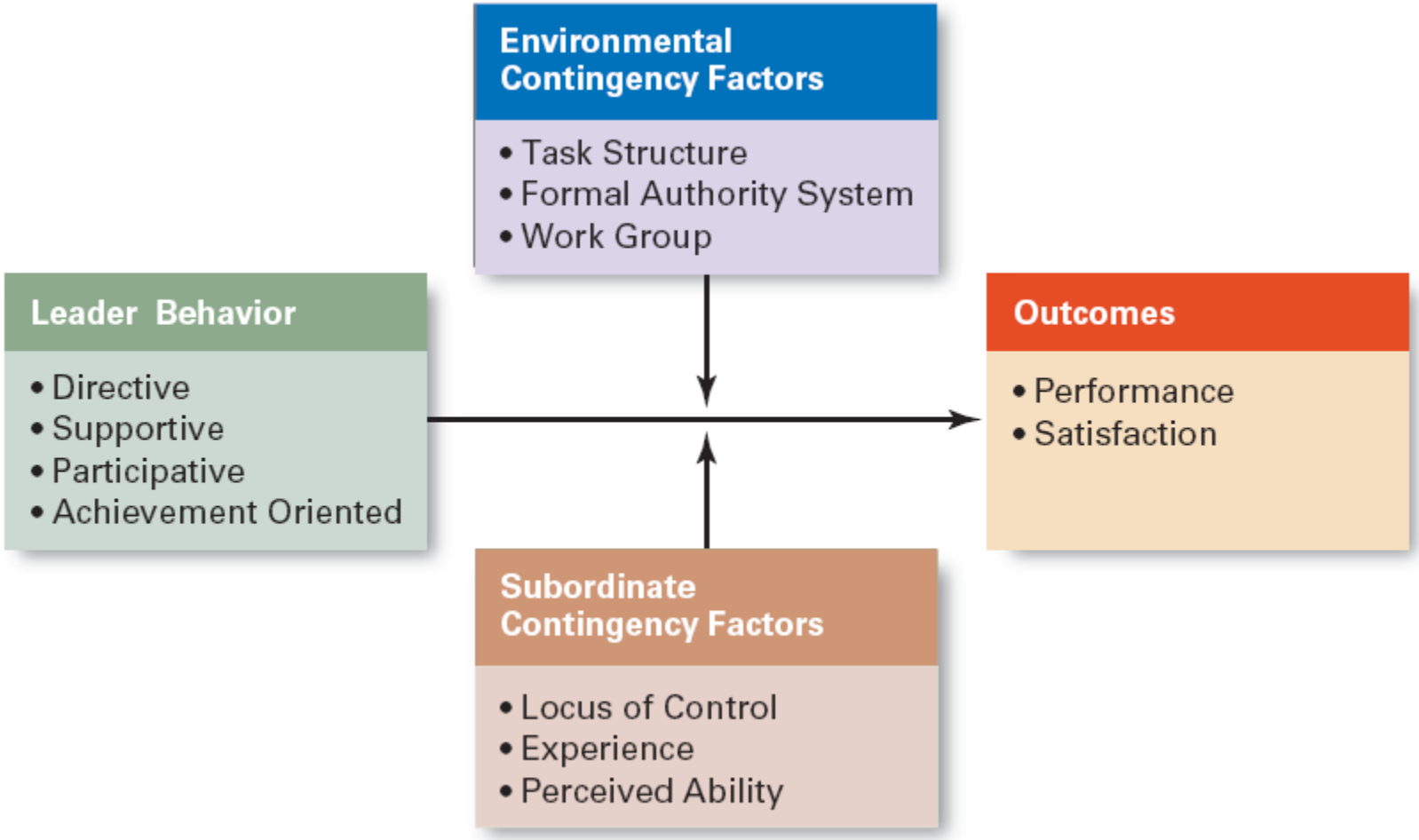
Exhibit 17–7 Path-Goal Theory



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Contemporary Views on Leadership

- Transactional Leadership
  - Leaders who guide or motivate their followers in the direction of established goals by clarifying role and task requirements.
  - What it says:
    Transactional leaders guide or motivate followers toward achieving established goals by clarifying roles, responsibilities, and task requirements.
  - Example:
    A manager sets targets for employees and offers bonuses for meeting them.

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Contemporary Views on Leadership

- Transformational Leadership
  - Leaders who inspire followers to transcend their own self-interests for the good of the organization by clarifying role and task requirements.
  - Leaders who also are capable of having a profound and extraordinary effect on their followers.
  - What it says:

    Transformational leaders inspire followers to go beyond their own self-interest for the benefit of the organization.

    They motivate people through vision, inspiration, enthusiasm, and personal influence.
  - Example:

    A school principal introduces a vision to make the school one of the top institutions in the region.She motivates teachers by encouraging innovative teaching methods, recognizes their efforts publicly, and creates a culture of continuous improvement.

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Contemporary Views…(cont'd)

- Charismatic Leadership
  - An enthusiastic, self-confident leader whose personality and actions influence people to behave in certain ways.
  - Characteristics of charismatic leaders:
    - Have a vision.
    - Are able to articulate the vision.
    - Are willing to take risks to achieve the vision.
    - Are sensitive to the environment and follower needs.
    - Exhibit behaviors that are out of the ordinary.

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- **Benazir Bhutto as a Charismatic Leader**
- Benazir Bhutto is often remembered as a **strong charismatic leader** because she inspired people through her personality, courage, and vision—not just her position.
- **Example: Her Return to Pakistan in 1986**
- When Benazir Bhutto returned to Pakistan from exile in 1986, **millions of people came out on the streets** to welcome her.
  There were crowds stretching for miles, cheering for her, following her car, and listening to her speeches with excitement.
- **Why this shows charisma:**
- **Inspiring Personality:**
  She spoke with energy and passion, giving people hope for democracy.
- **Confidence and Courage:**
  Even though her family had suffered and the political situation was dangerous, she confidently stood in front of huge crowds and promised change.
- **Vision for the Future:**
  She talked about restoring democracy, ending dictatorship, and improving the lives of ordinary people.
  People followed her because they believed in her vision.

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Contemporary Views…(cont'd)

- Visionary Leadership
  - A leader who creates and articulates a realistic, credible, and attractive vision of the future that improves upon the present situation.
- Visionary leaders have the ability to:
  - Explain the vision to others.
  - Express the vision not just verbally but through behavior.
  - Extend or apply the vision to different leadership contexts.

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Contemporary Views…(cont'd)

- Team Leadership Characteristics
  - Having patience to share information: A good team leader communicates openly and consistently, ensuring everyone understands tasks, goals, and expectations.
  - Being able to trust others and to give up authority: They empower team members, allow them to make decisions
  - Understanding when to intervene: They know when to step in to solve problems and when to stay back and let the team handle situations independently.

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- Team Leader's Job
  - Managing the team's external boundary: This means acting as a link between the team and the outside environment—other departments, management, clients, etc.
  - Facilitating the team process
    - Coaching, facilitating, handling disciplinary problems, reviewing team and individual performance, training, and communication
    - Example: A project team is working on a new website.
      The team leader shares all necessary updates from management, trusts the web developers to make design decisions, and only steps in when a conflict arises.
      They coordinate with other departments, coach teammates on improving their work, review progress regularly, and ensure smooth communication.

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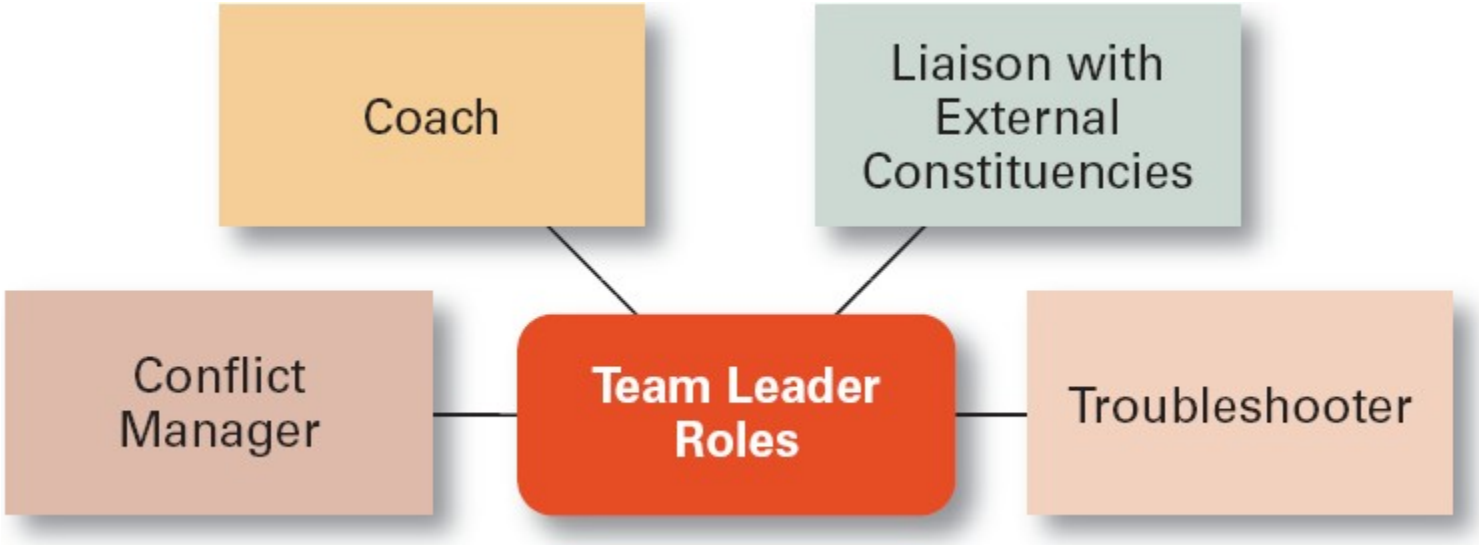
Exhibit 17–8 Specific Team Leadership Roles



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Leadership Issues in the 21st Century

- Managing Power
  - Legitimate power
    - The power a leader has as a result of his or her position.
  - Coercive power
    - The power a leader has to punish or control.
  - Reward power
    - The power to give positive benefits or rewards.
  - Expert power
    - The influence a leader can exert as a result of his or her expertise, skills, or knowledge.
  - Referent power
    - The power of a leader that arise because of a person's desirable resources or admired personal traits.

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Developing Credibility and Trust

- Credibility (of a Leader)
  - The assessment of a leader's honesty, competence, and ability to inspire by his or her followers
- Trust
  - Is the belief of followers and others in the integrity, character, and ability of a leader.
    - **Dimensions of trust:** integrity, competence, consistency, loyalty, and openness.
  - Is related to increases in job performance, organizational citizenship behaviors, job satisfaction, and organization commitment.
  - Example: A manager always communicates honestly, supports employees, keeps commitments, and listens to concerns.
    Because of this, the team trusts the manager, works harder, and stays committed during difficult projects.

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Exhibit 17–9 Suggestions for Building Trust

Practice openness.

Be fair.

Speak your feelings.

Tell the truth.

Show consistency.

Fulfill your promises.

Maintain confidences.

Demonstrate competence.

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Providing Ethical Leadership

- Ethical leadership involves guiding and influencing others in a way that is morally right, honest, and socially responsible. Leaders integrate ethics into their leadership by:
  - Foster moral virtue through changes in attitudes and behaviors-encouraging positive attitudes and behaviors among followers.
  - Use their charisma in socially constructive ways: inspiring people in socially responsible ways
  - Promote ethical behavior by exhibiting their personal traits of honesty and integrity-promoting ethical behavior through their own actions.

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Moral Leadership

- Involves addressing the means that a leader uses to achieve goals as well as the moral content of those goals. Moral leadership focuses not only on achieving goals, but also on how those goals are achieved. It considers:

- The ethical means used to reach objectives.

- The moral content of the goals themselves.

Example: A CEO aims to expand the company internationally. She ensures all business practices comply with ethical standards, avoids exploitation, and respects local cultures. She motivates employees by modeling honesty, transparency, and social responsibility. Employees follow her guidance not just for business success, but also because they respect her moral example.

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Empowering Employees

- Empowerment
  - Involves increasing the decision-making discretion of workers such that teams can make key operating decisions in develop budgets, scheduling workloads, controlling inventories, and solving quality problems.
  - Why empower employees?
- Faster decisions: Employees can respond quickly to problems without waiting for managerial approval.
- Better management focus: Frees managers from routine decisions so they can focus on strategic issues.
- Increased accountability and motivation: Employees feel trusted and responsible, improving engagement and performance.

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Cross-Cultural Leadership

- Universal Elements of Effective Leadership
  - Vision
  - Foresight
  - Providing encouragement
  - Trustworthiness
  - Dynamism
  - Positiveness
  - Proactiveness

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- Cross-cultural leadership refers to leading people from **different cultural backgrounds** effectively. It requires understanding cultural differences while applying **universal leadership principles** that work across cultures.
- **Universal Elements of Effective Leadership**

1. **Vision** – A clear and inspiring picture of the future.
2. **Foresight** – Ability to anticipate challenges and opportunities.
3. **Providing encouragement** – Motivating and supporting followers.
4. **Trustworthiness** – Being reliable, honest, and ethical.
5. **Dynamism** – Showing energy and enthusiasm.
6. **Positiveness** – Maintaining a positive attitude even in difficulties.
7. **Proactiveness** – Taking initiative rather than waiting for events to happen.

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- **Example**
- A multinational company has employees from five countries.
- The manager clearly communicates the company's vision and goals (vision).
- Anticipates potential cultural misunderstandings and plans team-building activities (foresight).
- Encourages participation, praises achievements, and resolves conflicts fairly (encouragement, trustworthiness).
- Maintains energy, optimism, and takes initiative in launching global projects (dynamism, positiveness, proactiveness).
- This approach ensures that the team works effectively despite cultural differences.

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Exhibit 17–10 Selected Cross-Cultural Leadership Findings

- **Korean leaders are expected to be paternalistic toward employees.**
- **Arab leaders who show kindness or generosity without being asked to do so are seen by other Arabs as weak.**
- **Japanese leaders are expected to be humble and speak frequently.**
- **Scandinavian and Dutch leaders who single out individuals with public praise are likely to embarrass, not energize, those individuals.**
- **Effective leaders in Malaysia are expected to show compassion while using more of an autocratic than a participative style.**
- **Effective German leaders are characterized by high performance orientation, low compassion, low self-protection, low team orientation, high autonomy, and high participation.**

Source: Based on J. C. Kennedy, "Leadership in Malaysia: Traditional Values, International Outlook," *Academy of Management Executive,* August 2002, pp. 15–17; F.C. Brodbeck, M. Frese, and M. Javidan, "Leadership Made in Germany: Low on Compassion, High on Performance," *Academy of Management Executive,* February 2002, pp. 16–29; M. F. Peterson and J. G. Hunt, "International Perspectives on International Leadership," *Leadership Quarterly,* Fall 1997, pp. 203–31; R. J. House and R. N. Aditya, "The Social Scientific Study of Leadership: Quo Vadis?" *Journal of Management,* vol. 23, no. 3, (1997), p. 463; and R. J. House, "Leadership in the Twenty-First Century," in A. Howard (ed.), *The Changing Nature of Work* (San Francisco: Jossey-Bass, 1995), p. 442.

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Gender Differences and Leadership

- Research Findings
  - Males and females use different styles:
    - Women tend to adopt a more democratic or participative style unless in a male-dominated job.
    - Women tend to use transformational leadership.
    - Men tend to use transactional leadership.

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1. Women's Leadership Style:
   - Often democratic or participative, involving team members in decision-making.
   - Frequently transformational, inspiring and motivating followers to exceed expectations.
   - Exception: In male-dominated fields, women may adapt to more directive styles.

- Example:
  A female manager in a marketing team encourages input from all team members, motivates them with a shared vision, and supports creative solutions.

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2. Men’s Leadership Style:

- Often **transactional**, focusing on structure, tasks, and rewards for performance.

- **Example:**
  A male project manager sets clear deadlines and performance targets, offering bonuses for meeting goals.

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Exhibit 17–11 Where Female Managers Do Better: A Scorecard

Where Female Managers Do Better: A Scorecard

None of the five studies set out to find gender differences. They stumbled on them while compiling and analyzing performance evaluations.

Skill (Each check mark denotes which group scored higher on the respective studies)	**MEN**	**WOMEN**
Motivating Others		✓ ✓ ✓ ✓ ✓
Fostering Communication		✓ ✓ ✓ ✓*
Producing High-Quality Work		✓ ✓ ✓ ✓ ✓
Strategic Planning	✓ ✓	✓ ✓*
Listening to Others		✓ ✓ ✓ ✓ ✓
Analyzing Issues	✓ ✓	✓ ✓*

*In one study, women's and men's scores in these categories were statistically even.
Data: Hagberg Consulting Group, Management Research Group, Lawrence A. Pfaff, Personnel Decisions International Inc., Advanced Teamware Inc.

Source: R. Sharpe, "As Leaders, Women Rule," *BusinessWeek,* November 20. 2000, p. 75.

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Basics of Leadership

- Give people a reason to come to work: Inspire and motivate employees by making their work meaningful.
- Example: A manager shares how each team member's work contributes to improving customer satisfaction
- Be loyal to the organization's people

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- Spend time with people who do the real work of the organization. Engage with employees on the front lines to understand challenges and processes. Example: A factory supervisor regularly visits the production floor to talk with workers.
- Be more open and more candid about what business practices are acceptable and proper and how the unacceptable ones should be fixed
- Clearly communicate organizational standards and address issues directly. Example: A manager openly discusses ethical concerns in meetings and implements improvements when problems are identified.
- .

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Leadership Can Be Irrelevant!

- Substitutes for Leadership
  - Follower characteristics
    - Experience, training, professional orientation, or the need for independence: they may not need close supervision or direction. Example: A senior software developer can independently design and implement a complex module without constant guidance from a team leader.
  - Job characteristics
    - Routine, unambiguous, and satisfying jobs: A data-entry clerk following clear step-by-step procedures does not require much leadership intervention to complete tasks.

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- Organization characteristics
  - Explicit formalized goals, rigid rules and procedures, or cohesive work groups:Example:In a bank branch with strict compliance procedures and a closely-knit team, employees follow rules and maintain performance even without active supervision.

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Terms to Know

- leader
- leadership
- behavioral theories
- autocratic style
- democratic style
- laissez-faire style
- initiating structure
- consideration
- high-high leader
- managerial grid
- Fiedler contingency model
- least-preferred co-worker (LPC) questionnaire
- leader-member relations
- task structure
- position power
- situational leadership theory (SLT)
- readiness
- leader participation model
- path-goal theory
- transactional leaders

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Terms to Know (cont'd)

- transformational leaders
- charismatic leader
- visionary leadership
- legitimate power
- coercive power
- reward power
- expert power
- referent power
- credibility
- trust
- empowerment

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